BGIN Block #9 Meeting Report

- Rebuilding Value, Governance and Reputation on Blockchain -

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The Global Network for Blockchain Stakeholders™

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3.7. DTWG Interactive Workshop Session 1: Points of Failure of Stablecoins

Date: Nov 20, 2023
Time: 13:30 - 15:00
Session Chair: Chloe White (Genesis Block, DTWG Co-Chair)

1. Paper Summary

    - TradFi and DeFi are capable of importing and exporting risks due to their increasing interconnectedness. For example, the value stability of stablecoins in particular is a major point of risk due to its exposure to credit and counterparty risk in the underlying centralized TradFi assets. Being aware of the risks and the potential failure is the first recommendation that comes out of the research.

    - The second recommendation is to mitigate such risks through diversification. The common understanding of a lot of people in the space prior to the de-peg event in 2022 is that diversification meant diversification of assets in the PSM. But what happens in a time of crisis is that the PSM acts as a credit default swap and that is why when market prices were moving in a very volatile way during the depeg, we saw that DAI was at parity with USDC. Although MakerDAO took action to change the ratio of assets backing the PSM, that did not support the price because this credit default swap feature of how the PSM is constructed and the parameters that were in place at the time. Instead, they need to diversify banking partners and have a greater awareness of the risks of their TradFi partners.

    - Another recommendation in this paper was to have a contingency mechanism. MakerDAO was surprisingly slow to act and respond at the time of crisis.

    Link to the paper summary:

    https://bgin-global.org/documents/20230724_PoF_of_Stablecoins.pdf

2. Discussion points

    - The Price Stability Module (PSM) was initially a way for bringing liquidity for illiquid stablecoins in the marketplace. The PSM was created because of too much demand for DAI and DAI was constantly off-peg. The PSM has been created as a way for DAI to trade on a 1-1 basis without no arbitrage, arbitrage being made on secondary markets.

    - When COVID hit, the Maker protocol generated some bad debt in the system, and therefore had to liquidate some of the governance assets to offset the debt. The

liquidation of the auctioning wasn't working properly in terms of creating an efficient auction system, leading to a whole six months of developing Liquidation 2.0. The crisis has created something new and the community moves forward. The next potential area to be improved might be friction on redemption, which can be another research topic.

- MakerDAO is evolving toward a so-called sub-DAO framework. now moving towards essentially the original version of the Maker project, reducing the amount of governance at the core of the Maker protocol to try to look like Bitcoin and be autonomous without human interaction and delegating functions toward other DAOs. Such mini-DAOs are functionally specific to deal with different problems. From a risk perspective, one of the key things for consideration is whether DAI will have the liquidity transmission mechanism from the core into the min-DAOs. The very first experiment of the liquidity transmission now we are seeing is called the Spark protocol, which was officially launched a couple of months ago.

- In terms of applying capital requirements to DeFi, MakerDAO actually started it 3 or 4 years ago. They start collating some information on how tier 1 capital will actually work, additional tier 1 capital, risk-weighted assets, etc. Sometimes applying exactly the same standards for them is a challenge. They had to be slightly adapted to the situation in which Maker was placed, but now it could change because of a hierarchical acceptance of a lot less volatile asset like ETH.

- When it comes to delegation, the question is how people actually use frameworks and how they delegate. Are there any communities and councils of people who can provide value to things that help actually communities put forward?

- In terms of conflicts of interest among DAO participants, you can find beneficiary ownerships and entities without necessarily disclosing them. If you have privacy assets, they need to be protected but we need to discuss what kind of disclosures actually need to exist in this space.